12 — Fundraising Readiness

Health Hub Business Plan v2 | Document 12 Version: 2.0 | **Date:** March 2026

> *All assumptions, rates, scenarios, equity structures, and phase definitions in this document are sourced from [params.md](). Refer to that document for any parameter clarification.*

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1. Executive Summary

Fundraising is not a single event but a continuous process that runs in parallel with product development and operational build-out. For Health Hub, the fundraising process spans 3-6 months at each stage, overlapping with the operational timeline defined in params.md. The company must be fundraise-ready before it needs the money — ideally 4-6 months before runway runs out.

This document provides a stage-by-stage blueprint covering: what materials to prepare, what traction makes the company fundable, which deal structures are appropriate, how to report to investors, which term sheet provisions to negotiate, and what to do when fundraising takes longer than planned or produces worse terms than expected.

Key principles:

- **Start early:** Begin fundraising preparation during the phase before you need the capital, not during
- **Traction is oxygen:** Every metric improvement during the fundraising process increases leverage
- **Structure matters:** The wrong deal structure at the wrong stage can create misaligned incentives that compound through later rounds
- **Transparency builds trust:** Monthly reporting during a raise (and quarterly after) is non-negotiable for East African investor relationships
- **Always have a Plan B:** Model downgrade paths for every scenario where the raise fails or terms are worse than expected

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2. Fundraising Timeline

2.1 Typical Fundraising Duration by Stage

Stage	Typical Duration	Range	Key Bottleneck
Pre-Seed (Post-Pilot 1)	3-4 months	2-6 months	Finding investors who understand East African health tech; limited deal flow
Seed (Post-Pilot 2)	4-6 months	3-8 months	Due diligence on traction data; regulatory concerns; FX risk assessment
Pre-Series A (Pre-Production)	4-6 months	3-9 months	Revenue validation; unit economics; competitive positioning; legal structuring

2.2 Fundraising Process Phases

Each raise follows a predictable sequence. The timeline below assumes a 4-month raise as the base case.

Week	Activity	Deliverables
Weeks 1-2	Preparation	Pitch deck finalized; financial model updated; data room populated; target investor list built (30-50 names)
Weeks 3-4	Warm introductions	Advisor network activated; 15-25 intro requests sent; initial pitch meetings scheduled
Weeks 5-8	First meetings	10-20 first meetings; pitch deck presented; initial interest gauged; follow-up materials sent
Weeks 9-12	Deep-dive meetings	5-10 second meetings; financial model walkthroughs; product demos; reference calls; term sheet discussions
Weeks 13-14	Term sheet negotiation	1-3 term sheets received; legal review; counter-proposals; final negotiation
Weeks 15-16	Closing	Legal documentation; wire transfer; cap table updated; announcement

2.3 Overlap with Operational Timeline

The fundraising process must be mapped against the operational phases from params.md to ensure the company is never caught without runway.

Scenario	Operational Phase When Fundraising	Fundraising Start	Capital Needed By	Buffer
S2 (investor during transition)	Late Pilot 1 / Early Pilot 2	Month 3-4 (during Pilot 1)	Month 8-12	4-8 months
S3 (investor after Pilot 1)	End of Pilot 1	Month 1-2 (during Pre-Pilot)	Month 5-9	3-7 months

2.4 Fundraising Calendar — Scenario S2 (Base Case)

Month	Operational Activity	Fundraising Activity	Status
0-3	Pre-Pilot (internal testing)	Build investor materials; identify targets	Preparation
3-5	Pilot 1 launch	Begin warm intros; first meetings	Active outreach

5-7	Pilot 1 in progress	Deep-dive meetings; demo live product with real users	Negotiation
7-8	Pilot 1 wrapping up	Term sheet negotiation; close	Closing
8-9	Pilot 1-to-2 transition	Capital arrives; deploy for Pilot 2 scale-up	Post-close

2.5 Fundraising Calendar — Scenario S3 (Early Investor)

Month	Operational Activity	Fundraising Activity	Status
0-1	Pre-Pilot (early)	Pitch deck ready; target list finalized	Preparation
1-3	Pre-Pilot (testing)	Warm intros; first meetings; prototype demo	Active outreach
3-5	Pilot 1 launch	Deep-dive meetings; live demo with real users	Negotiation
5-6	Pilot 1 early results	Term sheet; due diligence on Pilot 1 data	Closing
6-7	Pilot 1 in progress	Capital arrives; accelerate Pilot 1 and plan Pilot 2	Post-close

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3. Investor Materials Checklist

3.1 Materials by Stage

Material	Post-Pilot 1 (Pre-Seed)	Post-Pilot 2 (Seed)	Pre-Production (Pre-Series A)
Pitch deck (10-15 slides)	Required	Required (updated)	Required (updated)
Executive summary (1-2 pages)	Required	Required	Required
Financial model (spreadsheet)	Basic (costs + runway)	Detailed (revenue + unit economics)	Comprehensive (3-year P&L, cash flow, balance sheet)
Product demo (live or recorded)	Live prototype demo	Live platform with real user data	Full production demo with analytics
Traction data package	User counts, pilot results, partner letters	Revenue data, retention, engagement metrics	Full dashboard: revenue, growth, churn, LTV, CAC
Cap table (current + pro-forma)	Required	Required	Required
Term sheet template (draft)	Optional (investor usually provides)	Recommended	Required
Data room (virtual)	Basic (10-15 documents)	Standard (25-40 documents)	Comprehensive (50+ documents)
Legal documents (incorporation, IP)	Required	Required	Required + audited if possible
Team bios and LinkedIn profiles	Required	Required	Required
Market research / competitive analysis	2-3 page summary	Full competitive analysis	Updated with market data
Customer / user testimonials	2-3 pilot user quotes	5-10 testimonials + case studies	Formal case studies + partner endorsements
Technical architecture overview	1-page system diagram	Detailed architecture doc	Full technical due diligence package
Regulatory and compliance summary	1-page overview of landscape	Detailed compliance roadmap	Compliance audit results

3.2 Pitch Deck Structure (10-12 Slides)

Slide	Content	Key Data Points
1. Cover	Health Hub logo, tagline, round details	"Raising $X at $Y pre-money"
2. Problem	Healthcare access gap in East Africa	$28/year health spend in Ethiopia; 2,000-3,000 private clinics in Addis with no digital layer
3. Solution	Multi-stakeholder health platform	Screenshot of platform; 6 role types; admin-assisted model
4. Market	TAM/SAM/SOM for Ethiopia + Kenya	$300M-$480M TAM; 130M + 56M population; 35-65% smartphone penetration
5. Product	Demo screenshots, architecture	10 feature modules; Angular 21 + Express 5 + PostgreSQL; Daily.co video
6. Traction	Stage-appropriate metrics	Users, consultations, revenue, partners (varies by stage)
7. Business Model	Revenue streams and pricing	7 revenue streams; pricing corridors per params.md Section 11
8. Go-to-Market	Ethiopia first, Kenya second	Partner clinic channel; admin-assisted onboarding; Telebirr integration
9. Team	3 founders, 7 devs, 2 advisors	Key bios; part-time commitment disclosed; full-time conversion plan
10. Financials	Revenue projections, burn rate, runway	Monthly burn by phase; revenue ramp; path to success metric
11. Ask	Raise amount, use of funds, terms	Round size; allocation (product, ops, marketing); proposed valuation
12. Appendix	Additional data, comps, technical detail	Comparable deals; detailed financial model link; data room access

3.3 Data Room Contents

Category	Documents	Stage Required
Corporate	Certificate of incorporation, articles, shareholder agreement, board resolutions	All stages
Financial	Bank statements (6-12 months), financial model, cost breakdown, revenue data	All stages
Legal	IP assignment agreements, employment/contractor agreements, NDA template	All stages
Product	Technical architecture doc, security audit results, roadmap, demo video	All stages
Market	Competitive analysis, market research, customer research, partner pipeline	All stages
Traction	User metrics dashboard, pilot results report, testimonials, case studies	Seed onward
Compliance	Regulatory landscape analysis, data protection policy, medical compliance plan	Seed onward
Operations	Ops team structure, SOPs, training materials, support runbook	Pre-Series A
HR	Team org chart, vesting schedules, hiring plan, compensation benchmarks	Pre-Series A

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4. Traction Milestones

4.1 What Makes Health Hub Fundable at Each Stage

Metric	Post-Pilot 1 (Minimum Fundable)	Post-Pilot 2 (Strong Position)	Pre-Production (Investor-Ready)
Registered users	500-1,000	5,000-10,000	10,000-25,000
Monthly active users (MAU)	100-300	1,000-3,000	3,000-10,000
Consultations completed	50-200 total	500-2,000 total	200-800/month
Monthly revenue	$0-$500	$500-$3,000	$3,000-$15,000
Partner clinics onboarded	3-5	10-25	25-50
Partner pharmacies	2-5	5-15	15-30
Diagnostic labs	1-3	3-8	8-15
Doctor utilization rate	Any (proving demand)	>30%	>60%
Patient retention (30-day)	>20%	>35%	>50%
App downloads (Android)	200-500	2,000-5,000	5,000-15,000
NPS score	>30	>40	>50
Countries live	1 (Ethiopia)	1 (Ethiopia; Kenya in prep)	2 (Ethiopia + Kenya)

4.2 Minimum Viable Traction for Each Raise

These are the absolute minimum metrics below which a raise becomes very difficult.

Metric	Post-Pilot 1 Floor	Post-Pilot 2 Floor	Pre-Production Floor
Registered users	200	2,000	5,000
Monthly active users	50	500	1,500
Consultations completed	20	200	100/month
Revenue (any amount)	$0 (acceptable)	$200/month	$1,500/month
Partner clinics	2	5	15
Product working	Prototype demo	Live platform	Production-grade

4.3 Traction Building Priorities by Phase

Phase	Top 3 Metrics to Optimize	Why These Matter Most
Pre-Pilot	Product completeness, team commitment, pilot plan	Investors at this stage bet on team and product, not revenue
Pilot 1	User acquisition rate, consultation volume, partner sign-ups	Proves demand exists and the admin-assisted model works
Pilot 2	Revenue growth rate, retention, unit economics	Proves the business model works and can scale
Pre-Production	Monthly revenue, multi-geo traction, doctor utilization	Proves the company is ready to scale with capital

4.4 Traction Narrative Framework

At each stage, the company needs a compelling narrative that connects metrics to the investment thesis.

Stage	Narrative	Supporting Evidence
Post-Pilot 1	"We proved that Ethiopian patients and clinics will use a digital health platform. Now we need capital to scale."	Pilot user data, partner letters of intent, consultation logs

Post-Pilot 2	"We have real revenue, growing users, and a repeatable onboarding model. Capital accelerates our proven playbook into Kenya."	Revenue dashboard, retention curves, unit economics, Kenya market analysis
Pre-Production	"We are a multi-country health platform with $X/month revenue, Y partners, and clear path to profitability. Capital funds the final push to production scale."	P&L projections, multi-geo data, compliance certificates, hiring plan

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5. Deal Structure Options

5.1 Structure Comparison

Structure	Description	Pros	Cons	Best Stage
Equity Round (Priced)	Investor buys shares at a fixed valuation	Clear ownership; clean cap table; sets valuation benchmark	Requires valuation agreement; slower to close; more legal cost ($5K-$15K)	Post-Pilot 2 or Pre-Production
Convertible Note	Debt that converts to equity at next priced round	Fast to close; defers valuation; lower legal cost ($2K-$5K)	Creates debt on balance sheet; interest accrues; valuation cap negotiation	Post-Pilot 1
SAFE (Simple Agreement for Future Equity)	Not debt; converts at next priced round at a discount/cap	Fastest to close; no debt; no interest; no maturity date; lowest legal cost ($1K-$3K)	Not well-known in East African investor circles; no standard enforcement precedent in Ethiopia	Post-Pilot 1
Revenue-Based Financing (RBF)	Investor receives % of monthly revenue until multiple of investment repaid	Non-dilutive; aligns with revenue growth; no valuation needed	Only works with revenue; reduces cash flow during repayment; typically 1.5-2.5x repayment	Post-Pilot 2 or later (requires revenue)
Grant / Competition Prize	Non-dilutive capital from competitions, accelerators, or development organizations	Free money; no dilution; often includes mentorship/network	Highly competitive; application process is long (3-6 months); amounts are small ($10K-$50K typically)	Any stage

5.2 Recommended Structure by Stage

Stage	Primary Recommendation	Secondary Option	Rationale
Post-Pilot 1	**SAFE with valuation cap**	Convertible note	Fastest to close; defers hard valuation discussion; preserves optionality. SAFE cap at $450K-$600K aligns with valuation analysis in Document 11.
Post-Pilot 2	**Priced equity round**	Convertible note with cap + discount	Sufficient traction to justify a valuation; priced round creates clean cap table for future raises. Use Model A (reserved pool) from Document 11.
Pre-Production	**Priced equity round**	Revenue-based financing (supplementary)	At this stage, revenue data supports a credible valuation. RBF can supplement equity for working capital without additional dilution.

5.3 SAFE Term Recommendations (Post-Pilot 1)

Term	Recommended Value	Rationale
Valuation cap	$450K-$600K	Aligns with Post-Pilot 1 valuation range from Document 11
Discount rate	15-25%	Standard for pre-seed SAFEs; rewards early investor risk
Pro-rata rights	Yes (for investments >$50K)	Investor incentive to participate; manageable dilution
MFN (Most Favored Nation)	Yes	Standard protection; ensures early investor gets best terms
Conversion trigger	Next priced round of $200K+	Prevents premature conversion on tiny follow-on rounds
Side letter provisions	Board observer seat (not board seat)	Preserves founder board control; gives investor visibility

5.4 Convertible Note Term Recommendations (Post-Pilot 1 Alternative)

Term	Recommended Value	Rationale
Principal	$50K-$150K	Aligned with raise targets per scenario
Interest rate	5-8% annual (simple interest)	Standard for early-stage notes; keeps accrual manageable
Maturity date	18-24 months	Long enough to reach next priced round
Valuation cap	$450K-$600K	Same as SAFE cap
Discount rate	15-25%	Same as SAFE discount
Conversion trigger	Qualified financing of $200K+	Same as SAFE
Automatic conversion at maturity	Converts at cap if no priced round	Protects against zombie note; removes debt from balance sheet

5.5 Priced Equity Round Term Recommendations (Post-Pilot 2)

Term	Recommended Value	Rationale
Pre-money valuation	$800K-$1.5M	Per Document 11 Post-Pilot 2 range

Share class	Series Seed Preferred	Standard; gives investor liquidation preference and basic protections
Liquidation preference	1x non-participating	Investor-friendly but not punitive to founders; standard for seed
Anti-dilution	Broad-based weighted average	Industry standard; protects investor without being draconian
Board seats	1 board seat for lead investor (if investing >$200K)	Maintains founder board majority (2 founder seats + 1 investor)
Protective provisions	Standard: veto on new share issuance, change of control, new debt >$50K	Reasonable investor protections; no operational veto
Information rights	Monthly financials, quarterly board update, annual audit (if >$500K raise)	Standard transparency obligations
Pro-rata rights	Yes, for all Series Seed holders	Allows follow-on participation
Drag-along	75% supermajority to trigger	Prevents single holdout from blocking exit
Right of first refusal (ROFR)	Company, then investors, on secondary sales	Standard; maintains control over cap table

5.6 Revenue-Based Financing Parameters (Pre-Production Supplement)

Parameter	Recommended Range	Notes
Investment amount	$25K-$75K	Supplementary to equity; not primary capital source
Revenue share percentage	3-8% of monthly revenue	Should not exceed 8% to preserve cash flow for operations
Repayment cap	1.5-2.0x of invested amount	Lower cap reflects lower risk at this stage
Minimum monthly payment	$0 (pure revenue share)	Protects company if revenue dips
Maximum repayment period	36 months	Backstop if revenue is slower than expected
Revenue threshold trigger	Payments begin only when monthly revenue exceeds $2,000	Ensures company has meaningful revenue before payments start

5.7 Non-Dilutive Capital Sources

Source	Typical Amount	Application Effort	Timeline	Fit for Health Hub
Africa Health Tech accelerators (e.g., mLab, GreenHouse Capital)	$25K-$100K + mentorship	Medium (8-12 weeks application)	3-6 months	High — sector-specific, network access
Global health grants (Bill & Melinda Gates Foundation, USAID DIV)	$50K-$500K	High (extensive application, reporting)	6-12 months	Medium — requires impact metrics framework
Startup competitions (Seedstars, DEMO Africa, Pitch@Palace)	$10K-$50K prize	Low-Medium (pitch preparation)	2-4 months	High — exposure + capital
Development finance (IFC, AfDB innovation programs)	$100K-$500K	High (institutional process)	6-18 months	Low-Medium — better for later stage
Angel networks (Lagos Angel Network, Viktoria Ventures, enza Capital)	$25K-$150K	Medium (warm introductions needed)	3-6 months	High — aligned with stage and geography

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6. Investor Reporting

6.1 Reporting Cadence

Period	Cadence	Format	Length
During active fundraise	Monthly	Email update to all prospective investors	1-2 pages
First 12 months post-investment	Monthly	Formal investor update (email + dashboard link)	2-3 pages
After 12 months post-investment	Quarterly	Formal investor update with board deck	3-5 pages + appendix
Annual	Yearly	Annual review with financial statements	10-15 pages
Ad hoc	As needed	Material event notification (pivots, key hires, crises)	1 page

6.2 Monthly Investor Update Template

Section	Content	Example Metrics
1. Highlights (3 bullets max)	Top wins this month	"Onboarded 3 new partner clinics in Addis Ababa"
2. Key Metrics	Dashboard of 5-8 core metrics	MAU, consultations, revenue, partners, retention
3. Financials	Cash position, burn rate, runway	"Cash: $42K
4. Product	Major releases, bugs fixed, roadmap progress	"Launched pharmacy workflow; 95% uptime this month"
5. Team	Hires, departures, capacity changes	"Hired 2 admin ops staff (Pilot 1 staffing ladder)"
6. Challenges	Honest assessment of blockers	"Telebirr integration delayed 2 weeks due to API changes"

7. Asks	Specific requests for investor help	"Looking for intro to Kenya health tech regulatory advisor"
8. Next Month	Top 3 priorities	"Launch Kenya pilot prep; close 5 more clinic partners"

6.3 Key Metrics Dashboard

Metric Category	Metrics Tracked	Frequency
Growth	Registered users, MAU, DAU, new registrations/week	Weekly internally, monthly to investors
Engagement	Consultations/month, consultations/user, session duration, return rate	Monthly
Revenue	MRR, revenue by stream, ARPU, revenue growth rate	Monthly
Unit Economics	CAC, LTV, LTV:CAC ratio, gross margin per consultation	Monthly (once revenue exists)
Operations	Doctor utilization, avg response time, NPS, support tickets, resolution time	Monthly
Financial	Cash balance, monthly burn, runway (months), budget vs actual	Monthly
Product	Uptime %, bugs reported/resolved, feature velocity, app store rating	Monthly
Market	Partner pipeline, geographic coverage, competitive moves	Quarterly

6.4 Board Reporting (Post-Investment)

Item	Frequency	Responsible
Board meeting	Quarterly (monthly for first 6 months)	Founder (chair)
Board deck distribution	5 business days before meeting	Founder
Financial statements	Monthly to board; quarterly formal	Technical Head / Finance
Budget vs actual variance report	Quarterly	Technical Head / Finance
Strategic review and pivot assessment	Semi-annually	Full board
Cap table update	After any equity event	Founder

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7. Term Sheet Guidance

7.1 Key Terms to Negotiate

Term	What It Means	Founder Priority	Investor Priority	Negotiation Guidance
Valuation cap	Maximum valuation at which convertible instrument converts	Higher is better (less dilution)	Lower is better (more equity per dollar)	Use Document 11 ranges as anchor; do not accept cap below asset floor ($58K-$88K)
Discount rate	% discount on next round price that early investor receives	Lower is better (less dilution)	Higher is better (more reward for early risk)	15-20% is standard; resist >25%; offer higher discount instead of lower cap if needed
Pro-rata rights	Right to invest in future rounds to maintain ownership %	Acceptable if capped at current %	Important for maintaining upside	Grant for investments >$50K; cap at current ownership percentage
Board seats	Investor representation on board of directors	Minimize (1 observer seat preferred)	Want at least 1 seat for investments >$150K	Offer observer seat for seed; full seat only for lead investor at $200K+
Anti-dilution	Protection against down rounds (lower valuation in future)	Broad-based weighted average (least punitive)	Full ratchet (most protective)	Never accept full ratchet; broad-based weighted average is industry standard
Liquidation preference	Order of payout in exit/liquidation	1x non-participating (least favorable to investor)	1x participating or higher multiple	1x non-participating is standard at seed; resist participating preferred
Vesting acceleration	Founder shares vest faster on change of control	Want double-trigger (change of control + termination)	Prefer no acceleration	Double-trigger is standard; single-trigger is too founder-friendly for most investors
Information rights	Investor's right to financial and operational data	Monthly update; quarterly financials	Full access to books and records	Monthly updates are standard; resist real-time system access
Protective provisions	Investor veto rights on major decisions	Limit to: new equity issuance, sale of company, new debt >$50K	Broad veto on: budget changes, key hires, pivots	Standard set is acceptable; resist operational veto (hiring, product decisions)
Drag-along rights	Ability to force all shareholders to participate in sale	75% supermajority threshold	50% + 1 (simple majority) threshold	67-75% is reasonable; ensure founder + founding team together can block if needed
Right of first refusal	Company/investor right to buy shares before secondary sale	Yes (company first, then investors)	Yes	Standard and acceptable for all parties
No-shop / exclusivity	Period during which founder cannot talk to other investors	Shortest possible (15-30 days)	Longest possible (60-90 days)	30 days is standard; resist >45 days
Founder lock-up	Period after investment during which founder cannot sell shares	12 months is acceptable	18-24 months preferred	12 months is standard; accept 18 months if valuation is favorable

7.2 Red Lines (Terms to Never Accept)

Term	Why It Is Dangerous	Alternative to Propose
Full ratchet anti-dilution	In a down round, investor gets shares as if they invested at the lower price; massively dilutive to founders	Broad-based weighted average anti-dilution
Participating preferred with no cap	Investor gets liquidation preference AND pro-rata share of remaining proceeds; double-dip	1x non-participating preferred; or participating with 3x cap
>1x liquidation preference	Investor gets 2x or 3x their money before anyone else; punitive in modest exits	1x is standard; resist anything higher at seed/pre-seed
Investor majority board control	Investor(s) control more board seats than founders	Founder majority board (2 founder + 1 investor + 1 independent)
Founder vesting reset	Existing founder equity is re-vested from zero	Credit for time already served; new vesting only on new grants
Unlimited protective provisions	Investor veto on routine operational decisions	Limited to: equity issuance, sale, debt, dividends
Redemption rights	Investor can demand their money back after X years	Remove entirely; or limit to 7+ years with board approval
Pay-to-play punitive conversion	If investor doesn't participate in future round, preferred converts to common at penalty ratio	Standard pay-to-play (1:1 conversion to common) is acceptable

7.3 Negotiation Leverage by Stage

Stage	Founder Leverage	Investor Leverage	Recommended Posture
Post-Pilot 1	Low-Medium (limited traction; need capital)	Medium-High (few deals in Ethiopia; investor has options)	Be flexible on valuation cap; hold firm on control provisions and red lines
Post-Pilot 2	Medium (real traction; can show growth)	Medium (wants in before Pre-Production valuation jump)	Negotiate harder on valuation; standard terms acceptable
Pre-Production	Medium-High (revenue, multi-geo, clear path)	Medium (higher entry price; lower risk but lower upside)	Set terms; walk away from unfavorable deals; multiple options likely

7.4 Legal Costs by Round Type

Round Type	Legal Cost (Founder Side)	Legal Cost (Investor Side, Usually Investor-Paid)	Timeline
SAFE	$1,000-$3,000	$0-$2,000	1-2 weeks
Convertible Note	$2,000-$5,000	$1,000-$3,000	2-3 weeks
Priced Equity (Seed)	$5,000-$15,000	$5,000-$10,000	4-8 weeks
Priced Equity (Pre-Series A)	$10,000-$25,000	$10,000-$20,000	6-12 weeks

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8. Fundraising Risks

8.1 Risk Registry

Risk	Probability	Impact	Mitigation	Contingency (If Realized)
Raise takes 2x longer than planned	Medium (40%)	High — runway depletes; team loses momentum	Start 2 months earlier than needed; maintain warm pipeline of 20+ investors	Reduce burn rate by 30-40%; defer non-critical hires; extend self-funded runway
Investor demands >25% equity	Medium (30%)	Medium — excessive dilution; founder loses majority in Model B	Use Model A (reserved pool); negotiate higher valuation; offer convertible note instead	Accept up to 25% with super-voting shares for founder; reject >30%
Valuation offered is 30-50% below target	Medium (35%)	Medium — more dilution per dollar raised	Build traction aggressively before close; have multiple term sheets to create competition	Accept lower valuation with larger raise to extend runway; or raise less at target valuation
Lead investor drops out during due diligence	Low-Medium (20%)	High — process restarts; momentum lost	Maintain 2-3 parallel conversations; never stop outreach until wire hits	Immediately re-engage next-best prospect; update materials with latest traction; compress timeline
Regulatory concerns block investor interest	Low (15%)	High — Ethiopia's nascent health tech regulation creates uncertainty	Proactively prepare regulatory landscape document; engage MOH early; show compliance roadmap	Focus on investors with Ethiopia experience; consider Kenya-first pivot for investment story
FX depreciation shock (ETB drops 20%+)	Medium (25%)	Medium — USD-denominated returns look worse; revenue projections shrink	Model with 10-15% FX buffer per params.md; present revenue in USD	Re-price services; shift emphasis to Kenya (more stable KES); adjust projections transparently
Team member departure during raise	Low (15%)	High — investors question commitment and execution ability	Ensure vesting with 1-year cliff; maintain bench of potential replacements	Transparent communication; rapid replacement; reframe as "upgrading the team"

Market downturn reduces investor appetite	Low-Medium (20%)	Medium — fewer active investors; lower valuations; longer timelines	Build relationships with patient capital (angels, DFIs) not dependent on market cycles	Pursue non-dilutive capital (grants, competitions); reduce round size; extend self-funded period

8.2 Downgrade Paths

If the fundraise fails or produces significantly worse terms than planned, the company must have pre-defined downgrade paths to avoid a crisis.

Scenario	Trigger	Downgrade Action	Impact on Timeline
Raise fails entirely	No term sheet after 6 months of active fundraising	Shift to S1 (fully self-funded); reduce team to core 3 + 3 developers; extend Pre-Pilot; reduce Pilot 1 scope	+6-12 months to Production
Raise takes 2x longer	No close after 4 months (vs 2 months planned)	Continue fundraising while operating on reduced burn; defer Pilot 2 marketing spend; reduce ops staffing	+3-6 months to Production
Valuation 50% below target	Best offer at $225K pre-money (vs $450K target)	Accept if terms are otherwise clean; raise minimum needed ($50K); plan for higher-valuation follow-on in 6 months	+1-2 months; faster follow-on needed
Investor demands 30%+ equity	Term sheet requires >30% dilution	Counter with convertible note (defer valuation); offer board observer + information rights instead of board seat; use super-voting shares	Minimal timeline impact; structural complexity increases
Only non-dilutive capital available	Grants/competitions only; no equity investors	Pursue aggressively; combine 2-3 grants to build $50K-$100K war chest; operate on S1-L1 parameters until equity market opens	+6-12 months; slower but preserves full equity

8.3 Runway Analysis Under Delayed Raise

Current Monthly Burn	Current Cash	Runway Without Raise	Runway with 30% Cut	Actions at 3-Month Runway
$14,830 (full team)	$30,000	2.0 months	2.9 months	Immediate: pause all non-core development; reduce to 5 contributors
$14,830 (full team)	$50,000	3.4 months	4.8 months	Begin cuts at month 1; intensify fundraising; explore bridge note
$14,830 (full team)	$75,000	5.1 months	7.2 months	Comfortable buffer; fundraise without desperation
$10,380 (reduced team)	$30,000	2.9 months	4.1 months	Manageable; focus on highest-ROI development only
$10,380 (reduced team)	$50,000	4.8 months	6.9 months	Good position; can afford selective fundraising

8.4 Bridge Financing Strategy

If the main raise is delayed but traction is strong, a bridge note can extend runway.

Parameter	Recommended
Instrument	Convertible note or SAFE
Amount	$15K-$30K (1.5-2 months of reduced burn)
Source	Existing investors, advisors, or close network
Valuation cap	Same as main round target
Discount	20-30% (higher than main round to reward bridge risk)
Maturity	12 months
Conversion	Into main round when it closes
Timeline to close	1-2 weeks (speed is the point)

8.5 Worst-Case Scenario: Full Reset

If fundraising fails entirely and self-funding is exhausted:

Action	Timeline	Outcome
Reduce team to founder + 1 core member	Immediate	Monthly burn drops to ~$3,500
Pause all paid development	Immediate	Focus on ops, partnerships, and grant applications
Seek accelerator programs (3-6 month programs)	Within 1 month	Potential $25K-$100K + mentorship + network
Pivot to consulting revenue	Within 2 months	Use platform expertise to generate $2K-$5K/month consulting income
Re-approach fundraise with accelerator backing	4-6 months later	Stronger position with accelerator brand + additional traction

> *The full reset is undesirable but survivable. The existing codebase ($33K-$45K replacement value) and business plan documentation represent durable assets that retain value through a pause period.*

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9. Key Takeaways

#	Finding	Implication
1	Fundraising takes 3-6 months; must start well before capital is needed	Begin preparation during the phase before the raise; never wait until runway is <3 months

2	SAFE is the recommended instrument for Post-Pilot 1 raises	Fastest to close, lowest legal cost, defers valuation negotiation
3	Priced equity round is recommended at Post-Pilot 2 and beyond	Traction justifies valuation; clean cap table for future raises
4	Monthly investor reporting is mandatory during and after raises	Builds trust; East African investors especially value transparency and communication
5	Never accept full ratchet anti-dilution, participating preferred, or investor board majority	These terms compound toxically through future rounds; walk away if they are non-negotiable
6	Downgrade paths exist for every failure scenario	S1-L1 (fully self-funded bootstrapped) is always available as a fallback; the company survives even if fundraising fails
7	Non-dilutive capital (grants, competitions, accelerators) should be pursued in parallel	Free money improves runway and credibility without touching the cap table
8	Traction milestones are more important than pitch materials	A company with 1,000 users and $500/month revenue will raise at a better valuation than a company with a perfect pitch deck and zero users

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10. Cross-References

Document	Relevance
[params.md]()	Equity structure (Section 8), revenue timing (Section 11), phase definitions (Section 13), scenario matrix (Section 14-15), team composition (Section 2)
[11-valuation-dilution.md]()	Valuation ranges, cap table evolution, dilution models, comparable deals
[03-cost-breakdown.md]()	Monthly burn rates and total capital requirements by scenario
[05-revenue-modelling.md]()	Revenue projections supporting traction milestones and investor return models
[15-competitive-analysis.md]()	Competitor landscape for investor positioning and differentiation narrative

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End of Document 12 — Fundraising Readiness. All figures trace to params.md assumptions.